AOU
الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Studies

B326: Advanced Financial Accounting

Final Exam – Version (B)

Fall 2024-2025

9-Jan-2025

AOU EXAM

mber of Exam Pages: 4 luding this cover sheet)	Time Allowed: Three Hours

nstructions:

- This exam consists of **three compulsory** questions. All questions in total are Marked out of 100 and are worth 50% of the overall assessment component.
- Use the Answer Booklet provided to you to answer the questions, and do not forget to write your name, your ID number, and section number in the specified space on the cover of the Answer Booklet.
- Read each question carefully and make sure that you understand it before you begin answering.
- In questions that require calculations, Credit will be given for **showing your detailed computation.**
- Programmable calculators are not permitted or to share, or to pass them between each other in an examination. Also, you are not permitted to use calculators with word processing capabilities.
- Keep in mind that any form of cheating will not be tolerated and will subject you to AOU Cheating Policy.

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Question 1 (35 Marks)

A- On January 1, 2022, Porto Corporation acquired 90% interest in Sardinia Corporation.

Further information:

1. During 2022, Porto 's sales to Sardinia were $24,000 which had cost $20,000, Sardinia managed to sell 50% of this merchandise. (The other half was sold in 2023.).

2. During 2023, Porto 's sales to Sardinia $30,000 which had cost $25,000, Sardinia managed to sell 40% of this merchandise. At year-end 2023, Sardinia owed Porto $7,500 for the inventory purchased during 2023. Sardinia's dividends in 2023 were $10,000

Presented below are several figures reported for Porto Corporation and Sardinia as of December 31, 2023

	Porto	Sardinia
Inventory	$50,000	$22,500
Sales	300,000	70,000
Cost of Goods Sold	130,000	22,000
Expenses	140,000	18,000

Required:

1- Calculate the following:
   A. Parent's share of subsidiary net income in 2023
   B. Non-controlling interest share of subsidiary net income in 2023.

2- Prepare the elimination entries required for consolidation on December 31, 2023. (Parent entries are not required).

3- Prepare a workpaper for consolidated income statement for the year ended December 31, 2023.

4- In your opinion, what will be the effect on the consolidated net income in 2023, 2024, and 2025, if the elimination entry of unrealized profit in inventories at the end of 2023 was not prepared?

(25 Marks)

B- Assume that a French corporation exports electronic equipment to a company in Kuwait in a transaction denominated in euro.

1. Determine if this is a foreign transaction for each company
2. Determine if this is a foreign currency transaction for each company and explain why, and
3. Explain the difference between these two concepts and their application here.

(10 Marks)

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Question 2 (40 Marks)

A- Philly Corporation acquired 70% of Santos corporation at book value several years ago. The following items appear in the trial balance of both companies at December 31 2023:

	Philly	Santos
Sales	15,000,000	6,400,000
Cost of goods sold	(10,000,000)	(4,000,000)
Operating expenses	(2,000,000)	(1,300,000)
Gain on sale of the machine		???

On January 1, 2023 Santos sold a machine to Philly for $900,000 cash, the cost of machine was $700,000 and the accumulated depreciation of the machine was $200,000 and the remaining useful life is 10 years.

Required:

1- Calculate the gain on sale of the machine.

2- Record journal entries prepared by the parent during 2023.

3- Prepare the required elimination entries for the year ended December 31, 2023. *Show your computations.* (22 Marks)

B- ABC Corporation (a U.S. company) had the following import and export transactions with unaffiliated Mexican companies:

December 12, 2023 Bought inventory for 150,000 pesos on account .Invoice denominated in pesos.

December 15, 2023 Sold 60% of inventory acquired on 12/12/15 for 120,000 pesos on account. Invoice denominated in pesos.

January 7, 2024 Acquired and paid the 150,000 pesos owed to the Mexican supplier.

January 15, 2024 Collected the 120,000 pesos from the Mexican customer and immediately converted them into U.S. dollars.

The following exchange rates apply:

Date	Rate	Date	Rate
December 12,2023	$.11 = 1 peso	January 7,2024	$.14 = 1 peso
December 15.2023	$.12 = 1 peso	January 15,2024	$.15 = 1 peso
December 31,2023	$.13 = 1 peso		

Required:

1) Prepare the journal entries for the previous transactions in the accounting records of ABC Corporation.

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2) Did the U.S. dollar strengthen or weaken from November to February and what are the implications for ABC business?

(18 Marks)

Question 3 (25 Marks)

A. The following transactions occurred between the home office and the Mason Branch of Smaldino Company:

1. Cash of $10,000 was transferred by the home office to Mason Branch.
2. Merchandise with a home office cost of $60,000 was shipped by the home office to Mason Branch at a billed price of $70,000.
3. Credit sales by Mason Branch amounted to $80,000; the branch's cost of the merchandise sold was $45,000.
4. Mason branch informed the home office it had collected $4300 on a note receivable to the home office. The principal amount of the note was $4000.
5. Payments for operating expenses by Mason Branch totaled $20,000.
6. Cash of $7,500 was remitted by Mason Branch to the home office.

Required:

Prepare journal entries for these transactions in the accounting records of the home office and the Mason Branch. (12 Marks).

B. The home office of Farah Company bills its only branch at a Markup of 20% above home office cost for all merchandise shipped to Habiba branch. During 2023 the home office shipped merchandise to the branch at a billed price of $ 60,000. Habiba branch reported net income of $70,000 for 2023 and a beginning and ending inventory balances, at billed price, of $30,000 and $36,000 respectively.

Required:

1. Prepare a working paper to analyze the flow of merchandise to Habiba Branch. Assuming a uniform Markup on all shipments to the branch.
2. Reconstruct a three-column ledger account Allowance for overvaluation of inventories: Habiba branch
3. Prepare journal entries (including adjusting entries) for the home office of Farah Company for 2023.

(13 Marks)

[END OF QUESTIONS]

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